PRE-CLASS CONCEPT PRIMER · FINANCIAL STATEMENT ANALYSIS

Reading a Business from Its Financial Statements

Why industries differ in assets, funding, cycles and returns

Why read this before class? Two firms of the same size can have completely different balance sheets because they do different things: they sell different products, to different customers, through different physical set-ups, and they pay for it differently. Each business model leaves a recognisable **fingerprint** on the financial statements. Reading that fingerprint backwards, from the numbers to the business, is one of the most useful skills in analysis. This primer gives you the vocabulary, the logic and the reasons. The class discussion will test whether you can apply them.

The six lenses used throughout this primer

1 Liquid and current assets	What does the firm hold in cash, customer dues and stock, and why?	**Page 3**
2 Long-term assets	What must the firm own or lease to operate? Where is the hidden value?	**Page 4**
3 Operating cycle	How quickly does cash come back after it is spent?	**Page 5**
4 Funding	Who financed the assets: suppliers, customers, lenders?	**Page 6**
5 Net worth	What is left for owners, and how was it built or reduced?	**Page 7**
6 Profit and returns	What does the firm earn, and through which route?	**Page 8**

Common-size statements: structure, not size

A **common-size balance sheet** expresses every line as a percentage of total assets. This removes size, so a very large firm and a small firm can be compared on **structure**: how much is in stock, how much in fixed assets, how much is borrowed. Two things are lost, and you must remember them: **scale** (percentages say nothing about how big the firm is) and **market value** (book values are historical cost-based, not what the firm is worth today). Year-ends and accounting periods may also differ across firms.

KEY IDEA **Total assets = Borrowings and other liabilities + Net worth.** Every rupee of assets (a use of funds) has a source (supplier, customer, lender or owner). So every line is one slice of the same 100 per cent. A firm that holds more of one asset must have funded it from some source.

HOW TO USE THIS PRIMER **1.** Learn the line items and ratios on page 2. **2.** Read the six lenses (pages 3 to 8). Each lens answers three questions: what the numbers show, why they differ, and what clue they give. **3.** Study the archetype table (page 9). **4.** Try the self-check on page 10 before class.

Colour code: blue = liquid assets · green = long-term assets · orange = operating cycle · purple = funding · grey = net worth · red = returns · gold = reading tip.

VOCABULARY

Line items and ratios in Indian presentation

Use these names. They follow the Schedule III format of the Companies Act and Ind AS usage.

Line item	In plain words	Reading cue
Cash, bank balances and current investments	Liquid funds and easily saleable investments	A financing choice, not a sign of cash sales
Trade receivables (debtors)	Money customers owe for goods or services sold on credit	Reflects the type of customer. For a lender, these are loans
Inventories	Raw material, work-in-progress, finished goods, traded goods	Zero for pure service firms. Includes work in progress
Other current assets	Advances, prepaid expenses, tax balances	Usually small
Net fixed assets (PPE, capital WIP, right-of-use assets)	Land, buildings, plant, vehicles, fleets, networks	The physical footprint the business must own or lease
Goodwill, intangibles and other non-current assets	Acquired brands, patents, goodwill, long-term investments	Large after acquisitions. Self-built intangibles are mostly absent
Short-term borrowings	Working-capital loans, overdrafts, commercial paper	For a bank, deposits and borrowings are the raw material
Trade payables (creditors)	Amounts owed to suppliers	Interest-free funding from suppliers
Provisions and accrued expenses	Salaries, taxes and costs incurred but unpaid	Interest-free funding that grows with scale of operations
Contract liabilities and other current liabilities	Customer advances, deferred revenue, statutory dues	Customers paying before delivery
Long-term borrowings	Term loans, debentures	Interest-bearing, usually backed by assets or stable cash flows
Other non-current liabilities and provisions	Employee benefit obligations, deferred tax, long-term provisions	Large in firms with old workforces or regulated businesses
Net worth (share capital + other equity)	Owners' book funds: paid-in capital and reserves and surplus	Book value, not market value

Ratio	Formula	What it tells you
Current ratio	Current assets ÷ Current liabilities	Ability to meet near-term bills
Quick (acid-test) ratio	(Current assets − Inventories − Other current assets) ÷ Current liabilities	Liquidity without relying on stock
Inventory turnover; inventory days	Cost of goods sold ÷ Average inventory; 365 ÷ turnover	How fast stock moves
Debtor days	Average trade receivables ÷ Credit sales × 365	How long customers take to pay
Creditor days	Average trade payables ÷ Purchases (or COGS) × 365	How long the firm takes to pay suppliers
Operating cycle; cash conversion cycle	Inventory days + Debtor days; Operating cycle − Creditor days	Days cash is tied up in operations
Borrowings-to-assets; equity multiplier	Total borrowings ÷ Total assets; Total assets ÷ Net worth	Extent of debt; extent of leverage
Interest coverage ratio (ICR)	EBIT ÷ Finance cost	Ability to service interest
Asset turnover	Revenue from operations ÷ Total assets	Revenue earned per rupee of assets
PAT margin; EBITDA margin	PAT ÷ Revenue; EBITDA ÷ Revenue	Profit kept per rupee of sales
ROA; ROE (return on net worth)	PAT ÷ Total assets; PAT ÷ Net worth	Return on all assets; return to owners

LENS 1 · LIQUID AND CURRENT ASSETS

Cash, customer dues and stock: what a firm holds, and why

Cash and liquid investments

Firms hold liquid funds for several reasons: day-to-day **transactions**, **precaution** against uncertainty, **readiness for acquisitions or large investments**, the **tax cost of bringing overseas cash home**, and **a shortage of attractive projects**. The cost is that idle cash earns little and can tempt management into wasteful spending.

> **KEY IDEA** A large cash balance is a **financing and strategy decision**, not evidence that the firm takes cash from customers. A retailer that collects cash daily may hold little because it uses the cash to pay suppliers and expand. A highly profitable firm with little need for debt may pile cash up.

Trade receivables: they follow the customer

- **Consumers** pay by card, UPI or cash, and the money reaches the seller within days. Receivables are tiny.
- **Business customers** usually get 30 to 90 days of credit, so receivables are larger. Large buyers or government customers may pay later still.
- **Subscription and contract billing**: if a customer is billed for a year in advance, the firm shows a large receivable and, at the same time, a matching customer advance (deferred revenue) on the liability side. Both are two sides of one contract.
- **Lenders**: a bank's loans are its receivables. The "collection period" then runs into years and is not trade credit at all.

Inventories: only firms that make or trade goods

A service cannot be stored. Delivery capacity, a seat, an advisory hour, a software subscription or a loan has **no inventory**. So "any inventory or none?" is often the cleanest first split of businesses. Where inventory exists, its size follows the business:

Inventory is high when	Inventory is low when
The product range is wide and sales are slow (fashion, books-like specialty goods, jewellery)	The product is perishable and sells within days (fresh food)
Production takes long, so work-in-progress builds up (ships, aircraft-like capital goods)	The firm assembles to order and outsources production, so stock sits with suppliers
Demand is seasonal and stock is built ahead	The firm is a service or software business

> **RULE (one line)** **Ind AS 2** values inventories at the lower of cost and net realisable value. It includes raw material, work-in-progress and finished goods, which is why slow, long-gestation businesses show large inventory balances.

Liquidity ratios and a worked example

Illustrative Firm Z (₹ crore): cash and investments **20**, debtors **40**, inventories **120**, other current assets **20**; current liabilities **160**. Current assets = 200. **Current ratio = 200 ÷ 160 = 1.25. Quick ratio = (200 − 120 − 20) ÷ 160 = 0.38.** Most of Firm Z's liquidity is locked in stock, so the quick ratio is the more honest measure. The quick ratio matters most where inventory can lose value (fashion, electronics, long-held stock).

> **READING TIP** A **current ratio below 1 is not automatically distress**. Firms that collect fast, are paid in advance or enjoy long supplier credit can run with low ratios safely. A very high ratio can mean idle cash or slow-moving stock. **Strong clue:** zero versus positive inventory. **Weak clue:** cash as a percentage of assets.

LENS 2 · LONG-TERM ASSETS

What a firm must own, and where its value hides

Net fixed assets follow the physical network

The share of fixed assets tells you whether the product is delivered through a **physical network** (power plants and grids, telecom towers, fleets, stores with refrigeration, hospitals, hotels) or through **knowledge, money, design or assembly**. Network businesses have large fixed costs (depreciation, maintenance, interest) that do not fall when sales fall. This is **operating leverage**: profits swing sharply with volume.

WATCH OUT "Capital intensive" is **not one class**. A manufacturer building long-gestation products can be inventory-heavy with modest fixed assets. A bank is asset-heavy in loans but has almost no plant. Always say **which** asset is heavy.

Type of heaviness	Typical sectors	What it owns	Clue to look for
Fixed-asset heavy	Power, telecom, roads and ports, airlines, shipping, hospitality, steel and cement	Plant, networks, fleets, buildings	High fixed assets, low asset turnover, long-term borrowings
Inventory heavy	Apparel and jewellery retail, shipbuilding, capital goods, real estate developers	Stock and work-in-progress	High inventory, long inventory days, quick ratio well below current ratio
Receivable (loan) heavy	Banks, NBFCs, housing finance	Loans and advances	Almost no fixed assets or inventory, very high leverage
Intangible heavy	Drugs and biotech, branded consumer goods, software, internet platforms	Patents, brands, goodwill, data	High goodwill and other non-current assets, low fixed assets, high margins
Cash heavy	Mature software and profitable asset-light firms	Liquid investments	Large cash, little debt, high margin

Goodwill, intangibles and "other non-current assets"

Accounting recognises intangibles **unevenly**. An acquirer records the brands, patents and goodwill it **buys**. A firm that **builds** its own brand, customer base or research capability records very little, because most of that spending is expensed. So **a low fixed-asset share does not mean few assets**, and a large "other assets" figure usually signals **acquisitions in an IP-intensive field**.

RULES (one line each) **Ind AS 103 and Ind AS 38:** acquired goodwill and intangibles are recognised. Research spending is expensed, and development cost is capitalised only if strict conditions are met.

Ind AS 116: most leases bring a right-of-use asset and a lease liability onto the balance sheet, so retail, aviation and telecom firms look more asset-heavy than before.

Asset turnover: how hard the assets work

Asset turnover = Revenue from operations ÷ Total assets. It depends on how much capital a rupee of sales needs.

Turnover	Typical business	Reason
High (above about 2×)	Trading, grocery and discount retail, distribution	Quick stock turns, small asset base, thin margins
Moderate (about 0.7 to 1.5×)	Light manufacturing, logistics, services with some assets	Balanced asset use
Low (below about 0.5×)	Utilities, banks, cash-rich software, IP-heavy firms	Very large asset base relative to sales, or large cash and goodwill

LINK TO PAGE 8 A firm with **low turnover** must be paid for it through a **high margin** or **high leverage**, otherwise its return on net worth will be poor. Turnover is half of the return story.

LENS 3 · OPERATING CYCLE

How fast cash comes back after it is spent

The cycle in one line

A firm spends cash on stock, sells on credit, and finally collects. The days it is tied up are the **operating cycle** (inventory days + debtor days). The part not financed by suppliers is the **cash conversion cycle** (operating cycle − creditor days). A **short or negative** cycle means suppliers and customers are financing the business. A **long** cycle means the firm needs working capital from lenders or owners.

WATCH OUT Inventory turnover is in **times**, debtor and creditor days are in **days**. Convert first: inventory days = 365 ÷ turnover. Then add.

Worked example (illustrative firms, all invented)

Firm and model	Inventory turnover	Inventory days	Debtor days	Creditor days	Operating cycle	Cash conversion cycle
P: daily-need goods, cash and card sales	20×	18	3	30	21	**–9**
Q: heavy machinery maker	3×	122	75	50	197	**147**
R: build-to-order assembler	25×	15	40	80	55	**–25**
S: subscription-billed service	no stock	0	90	15	90	**75**

P and R have negative cycles: suppliers fund them. Q funds itself for almost 5 months. S has a long debtor period but also holds customer advances, which the cycle ignores, so read it with the funding lens.

What drives each number

Driver	Effect on cycle	Examples
Product	Perishable and fashion items turn fast. Long-gestation or slow-moving goods turn slowly	Fresh food versus aerospace-type products, drugs held in long pipelines
Customer	Consumers pay in days. Business customers take 30 days or more. Loans take years	Retail versus industrial supply versus banking
Bargaining power	Large buyers stretch creditor days. Weak buyers must pay quickly	Big platforms and large retailers versus small shops
Production design	Build-to-order and outsourced production hold little stock	Assemble-to-order electronics versus integrated manufacturing

KEY IDEA **The debtor-day figure tells you who the customer is.** Under about 30 days points to consumers. Over about 40 days points to business customers. Years point to lenders. This is one of the strongest clues in any set of statements.

WATCH OUT **Faster is not always better:** too little stock loses sales. **Long creditor days can mean strength** (bargaining power) **or stress** (cannot pay). Check the quick ratio and interest coverage before deciding.

Year-end balances can mislead for seasonal firms. For banks and other lenders the cycle is not meaningful.

LENS 4 · FUNDING

Who financed the assets: suppliers, customers, lenders?

Three kinds of funding

Source	Cost	Where it appears	Heavy users
Operating liabilities (suppliers, accruals, customer advances)	No interest, but supplier terms and customer goodwill are the price	Trade payables, provisions, contract liabilities	Retailers, platforms, made-to-order manufacturers, subscription firms
Borrowings (lenders)	Interest, plus covenants and repayment risk	Short- and long-term borrowings	Asset-heavy and stable-cash-flow firms, banks
Net worth (owners)	Expected return demanded by owners	Share capital and other equity	Young firms, profitable asset-light firms

KEY IDEA **Customers and suppliers are lenders.** When you ask how much of the assets are funded by others, count them. A firm may show little borrowing but still have more than **half** of its assets financed by creditors, accruals and customer advances.

RULE (one line) **Ind AS 115:** cash received before a performance obligation is met is shown as a **contract liability** (customer advance or deferred revenue). Progress billing and annual subscriptions both create it.

Why borrowing differs across businesses

- **Collateral and stability.** Tangible assets and steady cash flows support debt (trade-off theory). Hence power, transport and large retail chains borrow more, while asset-light or volatile firms borrow less.
- **Pecking order.** Profitable firms use internal funds first, so very profitable firms often have little debt.
- **Policy.** Some firms hold large cash and large debt together, for tax, flexibility or acquisition reasons. Debt is a choice, not only a function of collateral.
- **Banks.** Deposits and borrowings are the raw material. Very high borrowing relative to assets is the business model, not a warning. The risk is **maturity mismatch** (short-term deposits funding long-term loans), not leverage as such.
- **Regulated and old-economy firms.** Large long-term employee obligations and regulatory liabilities sit in other non-current liabilities.

Debt level versus debt serviceability (worked example)

Illustrative firm	Borrowings ÷ Assets	EBIT	Finance cost	ICR	Reading
F1: lightly geared, weak earnings	0.20	₹ 12 cr	₹ 15 cr	**0.8×**	Earnings do not cover interest: serious concern
F2: heavily geared, stable earnings	0.45	₹ 90 cr	₹ 15 cr	**6.0×**	Comfortable, despite higher debt
F3: bank-type lender	0.80	n.m.	n.m.	n.m.	Normal for the model; judge on asset quality and funding mix

READING TIP The **level** of debt and the **ability to carry it** are different questions. A borrowings-to-assets ratio of 0.45 with ICR above 6 is safer than 0.20 with ICR below 1. The "below 0.5" rule of thumb fails for banks and means little without coverage.

LENS 5 · NET WORTH

What is left for owners, and how it is built or reduced

How net worth is built

Net worth = share capital and securities premium + reserves and surplus (retained profits) + other reserves, reduced by accumulated losses, dividends and buybacks. The mix is itself a clue:

If net worth is mostly	It suggests
Paid-in capital (share capital and premium)	A young or recently funded firm that has not yet built up profits
Reserves and surplus (retained profits)	A mature, profitable firm that reinvests
Negative reserves (accumulated losses)	Past losses have eaten into capital. Look at whether losses are still continuing
A thin balance after large buybacks	A cash-rich, mature firm that returns surplus to owners

Payout choices: dividends and buybacks

Mature, cash-rich firms return surplus either as **dividends** or by **buying back shares**. Buybacks are not a loss. They shrink net worth and shares outstanding, which has a mechanical effect on the ratios. Illustration (₹ crore, operations unchanged):

Item	Before buyback	After buyback of ₹ 400 cr (paid from cash)
Net worth	1,000	600
Total assets	2,000	1,600
Equity multiplier (assets ÷ net worth)	2.00×	**2.67×**
ROA (PAT 120 ÷ assets)	6.0%	7.5%
ROE (PAT 120 ÷ net worth)	12.0%	**20.0%**

ROE jumped from 12 to 20 per cent although the business did not change at all. Only the denominator and the leverage changed.

INDIA VERSUS ABROAD In IFRS and US GAAP statements, repurchased shares are often shown as a **negative line called treasury stock** within equity. Under **Section 68 of the Companies Act 2013**, Indian companies must **extinguish** bought-back shares, so the buyback appears as a fall in share capital and reserves, not as a separate treasury line. When you compare an Indian statement with a foreign one, remember that the same buyback is presented differently. Some foreign firms also fold treasury stock into retained earnings.

Book value versus market value

Net worth is an **accounting** number: past capital plus retained profits, less losses and buybacks, with self-built intangibles mostly expensed. A firm can therefore have a very large market value and a tiny book net worth. In that case the **equity multiplier, debt-to-equity and ROE all lose meaning**, because each divides by a number close to zero.

WATCH OUT Illustration: PAT ₹ 24 cr, total assets ₹ 400 cr, net worth ₹ 4 cr. **ROE = 600%** and the equity multiplier is 100×, yet **ROA is only 6%**. Any ratio with a near-zero denominator is unreliable. Use ROA or EBITDA margin instead, and ask how the equity became so small (buybacks, losses or expensed intangibles).

READING TIP Heavy buyback history points to a **mature, cash-generating** business with few new projects. It also raises leverage and ROE mechanically, so do not read a high ROE alone as proof of a great business.

LENS 6 · PROFIT AND RETURNS

What a firm earns, and which road it takes to get there

The DuPont identity: three roads to the same return

KEY FORMULA **ROE = PAT margin × Asset turnover × Equity multiplier** (PAT ÷ Revenue) × (Revenue ÷ Assets) × (Assets ÷ Net worth)

A firm can reach a given ROE by a **margin road** (price power, intellectual property, low marginal cost), a **turnover road** (volume and efficiency on thin margins) or a **leverage road** (borrowing, deposits, buybacks). Three illustrative firms all reach the same ROE:

Firm and road	PAT margin	× Asset turnover	× Equity multiplier	= ROE
A: margin road (premium, IP-led)	20%	0.50	1.5	**15%**
B: turnover road (high-volume, thin margin)	2%	3.00	4.0	**24%**
C: balanced	6%	1.00	2.5	**15%**
D: leverage road (lender-type)	25%	0.06	8.0	**12%**

KEY IDEA **ROE is the destination, DuPont is the route.** Always name the road. High margin and high turnover rarely coexist for long, because competition arbitrages them away. If margin and turnover are both low, look at leverage. If all three are low, there is no road to a good return.

Why margins differ across industries

- **High margins:** intellectual property and brands, very low marginal cost (software, digital platforms), network effects, or a lending spread.
- **Low margins:** commodity trading and groceries, price-competitive retail and distribution, and assembly with outsourced production.
- **Margin is not return:** a firm may have high margin but low turnover (utilities, drugs) and end with an ordinary ROE.

From EBITDA to what the owners keep

EBITDA margin measures operating strength before capital structure and asset age. **PAT margin** is after depreciation, finance cost and tax. The gap is **wide where fixed assets or debt are heavy**. Illustration: two firms each have EBITDA margin 30%. Firm U (asset-light, no debt) keeps 24% as PAT. Firm V (heavy fixed assets, large borrowings) keeps 9%. The business quality is the same at EBITDA level, but V's capital structure and asset base absorb the rest.

Losses: structural or temporary?

A **structural** loss comes from a weak business model: a thin EBITDA margin that cannot cover depreciation and interest. A **temporary** loss comes from a transition year: acquisition costs, restructuring, impairment or one-time charges, with an EBITDA margin that is still healthy. One year cannot always tell them apart. Check the **EBITDA margin, ICR and any one-off items** before concluding.

READING TIP **Strong clue:** a very high EBITDA margin points to IP, software, platforms or spread businesses. **Weak clue:** a single year's PAT margin or ROE, which can be distorted by buybacks, leverage and one-offs.

SYNTHESIS

Business-model archetypes side by side

Qualitative patterns only. Individual firms vary around these patterns.

Archetype and sectors	What it owns	Operating cycle	Funding	Return pattern	Typical tell
Lenders: banks, NBFCs, housing finance, microfinance	Loans (receivables); almost no stock or plant	Not meaningful; loan tenors in years	Deposits and borrowings; thin net worth	Very low ROA; ROE lifted by leverage	Loans on one side, borrowings on the other
Network operators: power, telecom, roads and ports, gas distribution, railways	Very heavy plant and networks; little stock	Moderate customer credit; long supplier credit	Long-term debt; large long-term obligations	Low turnover; high EBITDA absorbed by depreciation and interest	Fixed assets dominate; little cash
Transport and logistics: aviation, shipping, express logistics, rail freight	Heavy fleets and hubs; no stock	Consumers pay at booking; businesses 30 to 60 days	Debt, leases and customer advances	High operating leverage; sensitive to load and fuel	No inventory but heavy fixed assets
Consumer retail: supermarkets, apparel and lifestyle, jewellery, pharmacy chains, e-commerce	Stock, stores or warehouses	Tiny debtor days; fast turns for perishables	Large supplier credit; leases	High turnover, thin margins	Almost no receivables
Made-to-order, long-gestation: aerospace and defence, shipbuilding, capital goods, EPC, real estate developers	Work-in-progress dominates; modest fixed assets	Very long inventory days; progress billing	Heavy customer advances	Lumpy; moderate margins; project risk	High inventory and high customer advances together
Brand- and science-led makers: drugs and biotech, FMCG brands, specialty chemicals, medical devices	Modest plant; large goodwill and intangibles if acquisitive	Slow inventory; long creditor days	Internal accruals; selective debt	High margin, low turnover	High other non-current assets
Asset-light digital: IT services, enterprise cloud and subscription software, internet platforms, fintech apps	Little plant, no stock; large liquid investments	Varies: advertisers 30 to 60 days; subscriptions long with advances	Mostly equity; little debt	Very high margins, low-to-moderate turnover	Zero inventory and low fixed assets
Technology hardware: computers, handsets, electronics manufacturing, consumer durables	Little plant if outsourced; goodwill if acquisitive	Very fast stock turns; long creditor days	Supplier credit; debt for acquisitions	Thin margins; losses possible in deal years	Fast turns with long creditor days
Heavy process industries: steel, cement, oil and gas, metals and mining, chemicals	Heavy plant and substantial raw-material stock	Moderate on all three	Mix of debt and equity; cyclical cash flows	Cyclical margins; high operating leverage	High fixed assets and high inventory together

KEY IDEA The **same lens can point in different directions** for different archetypes. A high cash balance, a high borrowings ratio or a current ratio below 1 can each be normal in one model and a warning in another. Always read a number **against the business model**, not against a universal benchmark.

READING STRATEGY

Which clues to trust, which to doubt, and a self-check

Rank clues by how directly they follow from the product and the customer

Strong clues (differ sharply across models)	Weak or misleading clues (use only to break ties)
Any inventory or none; inventory as a share of assets	Cash as a share of assets (a financing choice)
Debtor days: who is the customer?	Borrowings-to-assets (policy and sector)
Net fixed assets as a share of assets	Current ratio (depends on the model)
Customer advances and contract liabilities	ROE (distorted by buybacks and leverage)
Goodwill and other non-current assets; inventory turnover	One year's PAT margin (one-offs, transition years)

Method: (1) sort firms into goods versus services; (2) separate consumer-facing from business-facing by debtor days; (3) split by physical footprint; (4) look for the single extreme number that no other firm shares; (5) state your confidence and name the one number that would change your mind.

Five common misreadings

Instinct	Better reading
"Lots of cash means cash sales."	Cash is a financing choice (page 3).
"Capital intensive is a class."	Say which asset is heavy: fixed assets, inventory, loans or intangibles (page 4).
"Current ratio below 1 means trouble."	Not if customers pay early and suppliers give long credit (pages 3 and 5).
"High ROE means a great business."	Check equity size, buybacks and leverage first (pages 7 and 8).
"A loss means a bad business."	Separate structural from temporary using EBITDA margin and ICR (page 8).

Self-check before class (answers in italics)

Q1. A firm has no inventory, large cash, no borrowings and a very high EBITDA margin. Which archetype fits, and which clue is strongest?
Asset-light digital or IP-led. Strongest: zero inventory. Cash and no debt are financing choices.

Q2. Inventory days 25, debtor days 5, creditor days 60. Find the operating cycle and cash conversion cycle.
Operating cycle 30 days; cash conversion cycle −30 days, so suppliers finance the firm.

Q3. Two firms both earn ROE of 20%. One has PAT margin 25%, turnover 0.4, equity multiplier 2.0. The other has 2%, 2.5 and 4.0. Name each road.
First: margin road. Second: turnover plus leverage road, which is riskier if sales slip.

Q4. Why can borrowings-to-assets of 0.8 be normal for one firm and alarming for another?
Lenders fund loans with deposits by design. A manufacturer has no such model.

Q5. After a large buyback ROE jumps to 600% on ROA of 6%. What should you use instead?
ROA or EBITDA margin. ROE divides by a near-zero denominator.

Q6. Give two reasons a healthy firm may have a current ratio of 0.8.
Customers pay before or at delivery; suppliers give long credit; steady cash flows.